Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 1 of 7 · Question 2 part c · 3 marks

2022 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

Number	Answer	
2 (a)	**A02 - 1 mark** Award 1 mark for a valid way in which *TBTS* can measure its success in business in the context of *TBTS* • An increase in the revenue it earns from selling its toys **(1)** **NB** Do not accept a way that is not in the context of *TBTS* **Accept any other appropriate response**	**(1)**

Question Number	State **one** reason why *TBTS* might segment its market **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason *TBTS* might segment the market in the context of *TBTS* • *TBTS* will be able to aim its toys appropriately to different age groups **(1)** **NB** Do not accept a reason that is not in the context of *TBTS* **Accept any other appropriate response**	**(1)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 1 of 7 · Question 2 part c · 3 marks

2022 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** benefit to a business of having a flat organisational structure. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business of having a flat organisational structure, plus 2 further marks for explaining this benefit for a maximum of 3 marks • Businesses will have fewer levels **(1)** so lines of communication are shorter **(1)** leading to quicker decision-making **(1)** NB Answers that list three benefits with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** method a small business may use to increase its profit. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Cutting costs **(1)** such as reducing the number of employees **(1)** which could increase profit if revenue stays the same **(1)** **NB** Answers that list three methods with no explanation will get 1 mark only **Accept any other appropriate response**	**(3)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 1 of 7 · Question 2 part c · 3 marks

2022 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** benefit to a business of using the Boston Matrix. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of using the Boston Matrix, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • The Boston Matrix helps a business to balance its product portfolio **(1)** showing if they have too many similar products **(1)** and can lead to identifying when they need to introduce a new product **(1)** NB Answers that list three benefits with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 1 of 7 · Question 2 part c · 3 marks

2022 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	*TBTS* is considering two options: **Option 1:** using retained profits **Option 2:** getting a bank loan Justify which **one** of these two options *TBTS* should choose **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using retained profits *TBTS* can buy the toys immediately to sell in its toy shops • **Option 2** – *TBTS* will have to wait for a decision to be made by the bank before being able to buy the toys from new suppliers **AO3** • **Option 1** – This method does not need to be paid back so any profits made from the introduction of new toys will go back into the business • **Option 2** – *TBTS* may have more finance from a bank loan and can therefore buy a wider range of toys **AO4** • **Option 1** – However, *TBTS* can only use retained profits if they have any in the first place as it can take some time to build up profits to use in investing in new products. • **Option 2** – However, interest has to be paid back to the bank so this adds an additional cost to the business but can be paid back over a long period of time so *TBTS* can budget for this.	**(9)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 1 of 7 · Question 2 part c · 3 marks

2022 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 1 of 7 · Question 2 part c · 3 marks

2022 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
	Define the term **inventory.**	

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 2 of 7 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

3 (a)	**A01 = 1 mark** Award 1 mark for a correct definition of hierarchical structure. • A structure with many levels (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 = 2 marks** Award 1 mark for identifying a reason why *Emirates* would have short chains of command, plus 1 further mark for linking it to the context of the question. • Communication between *Emirates'* employees involved in recycling would be quicker, and therefore, more accurate (1). Communication between these employees will only pass through a few levels before reaching the intended employee (1). **NB** Do not accept a reason that is not in the context of *Emirates.* **Accept any other appropriate response.**	**(2)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 2 of 7 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 = 2 marks** 13,457,776/100 x 12.5 = 1,682,222 (1) 13,457,776 – 1,682,222 = 11,775,554 (1) **OR** 13,457,776 x 0.125 = 1,682,222 (1) 13,457,776 – 1,682,222 = 11,775,554 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Emirates* recycles all waste from its aircraft this is a good marketing technique. • *Emirates* wants to maintain its reputation as a business that cares about the environment and does this by reducing its fuel consumption. **AO3** • *Emirates* has a good record of recycling, which may prove attractive to people who care for the environment. They are more likely to use *Emirates* because of its environmental policies. • Although *Emirates* pollutes the environment by using fuel, it is now reducing that use and, therefore, has become less polluting.	**(6)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 2 of 7 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 2 of 7 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Increasing special offers encourages more passengers to fly with *Emirates*. • Option 2 – Many passengers will use social media and, therefore, it is a good way to advertise to a large number of potential passengers. **AO3** • Option 1 – This improves sales for *Emirates,* which helps it towards regaining its prime position against its competitors. • Option 2 – It is a quicker, more up-to-date and less expensive way to get information out to passengers and potential passengers. **AO4** • Option 1 – Although special offers help, it is the service and the way passengers are treated that improves the airline's status. • Option 2 – However, there is no control over social media and what is being said about *Emirates* by the users of social media.	**(9)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 2 of 7 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 2 of 7 · Question 3 part a · 1 mark

2020 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 3 of 7 · Question 1 part a.iv · 1 mark

2025 NOV · Paper 02 · extract 1 of 8 · find part a.iv in this mark scheme extract

1 (a) (i)	**AO1 – 1 mark** **The only correct answer is A – Survival** **B** – is not the correct answer as independence is a non-financial aim of a business **C** - is not the correct answer as control is a non-financial aim of a business **D** -is not the correct answer as challenge is a non-financial aim of a business	**(1)**

Q. No.	Which **one** of the following is a job in the secondary sector? **Answer**	Mark
1 (a) (ii)	**AO1 – 1 mark** **The only correct answer is D – Ship builder** **A** – is not the correct answer as a farmer works in the primary sector **B** - is not the correct answer as a grocery store manager works in the tertiary sector **C** - is not the correct answer as a restaurant waiter works in the tertiary sector	**(1)**

Q. No.	Which **one** of the following is the total daily remuneration cost for the three factories? **Answer**	Mark
1 (a) (iii)	**AO2 – 1 mark** **The only correct answer is D – €57 000** **A** - is not the correct answer as €15 000 is 125 x €120 **B** - is not the correct answer as €16 800 is 140 x €120 **C** - is not the correct answer as €25 200 is 210 x €120	**(1)**

4

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 3 of 7 · Question 1 part a.iv · 1 mark

2025 NOV · Paper 02 · extract 2 of 8 · find part a.iv in this mark scheme extract

Q. No.	Which **one** of the following is an advantage of a hierarchical organisational structure? **Answer**	Mark
1 (a) (iv)	**AO1 – 1 mark** **The only correct answer is C – It has more job promotion opportunities for its employees** **A** – is not the correct answer as it is more expensive than a flat organisation structure **B** – is not the correct answer because a flat structure has a short chain of command **D** - is not the correct answer because a flat structure has a wide span of control	**(1)**

Q. No.	Which one of the following is the net cash flow for this month? **Answer**	Mark
1 (a) (v)	**AO2 – 1 mark** **The only correct answer is B – €25 000** **A** – is not the correct answer as €17 000 is the opening balance minus the cash inflow **C** – is not the correct answer as €42 000 is the opening balance minus cash outflow **D** - is not the correct answer as €101 000 is the opening balance plus cash inflow minus cash outflow	**(1)**

5

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 3 of 7 · Question 1 part a.iv · 1 mark

2025 NOV · Paper 02 · extract 3 of 8 · find part a.iv in this mark scheme extract

Q. No.	Which **one** of the following best describes Taylor's motivational theory? **Answer**	Mark
1 (a) (vi)	**AO1 – 1 mark** **The only correct answer is A – workers are motivated by money** **B** – is not the correct answer as esteem needs relate to Maslow's theory of motivation **C** – is not the correct answer as hygiene factors relate to Herzberg's theory of motivation **D** - is not the correct answer as working in a team relates to Maslow's theory of motivation	**(1)**

6

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 3 of 7 · Question 1 part a.iv · 1 mark

2025 NOV · Paper 02 · extract 4 of 8 · find part a.iv in this mark scheme extract

Q. No.	Define the term **job rotation.** **Answer**	Mark
1 (b)	**AO1 – 1 mark** Award 1 mark for a correct definition of **job rotation**. • Employees spending a period of time in different jobs/departments **(1)**	**(1)**

Q. No.	Define the term **interest rate**. **Answer**	Mark
1 (c)	**AO1 – 1 mark** Award 1 mark for a correct definition of **interest rate.** • A percentage charged for borrowing money/reward for saving money **(1)**	**(1)**

Q. No.	State **one** job that an employee of *Samsung* might do in the production department. **Answer**	Mark
1 (d)	**AO2 – 1 mark** Award 1 mark for a job that an employee of *Samsung* may do in the production department • A *Samsung* employee may work on the production line that makes laptops **(1)** • A *Samsung* employee may be responsible for the quality control of the TV's **(1)** **NB** Do not accept a reason that is not in the context of *Samsung* Accept any appropriate response	**(1)**

7

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 3 of 7 · Question 1 part a.iv · 1 mark

2025 NOV · Paper 02 · extract 5 of 8 · find part a.iv in this mark scheme extract

Q. No.	Calculate the factory's productivity of smartphones per hour. You are advised to show your working **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 – 2 marks** Award 2 marks for the correct answer 50 **(2)** **OR** award 1 mark for workings if final answer is incorrect 1000 / 20 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain one advantage to a business of mass marketing. **Answer**	**Mark**
1 (f)	**A01 – 3 marks** Award 1 mark for identification of an advantage to a business of mass marketing, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • More sales may be generated **(1)** as the product is promoted to a large number of people **(1)** which may improve the profitability of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

8

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 3 of 7 · Question 1 part a.iv · 1 mark

2025 NOV · Paper 02 · extract 6 of 8 · find part a.iv in this mark scheme extract

Q. No.	Analyse how recruitment documents may help *Samsung* to hire the best employees for its business **Indicative content**	Mark
1 (g)	**AO2 = 3 marks** **AO3 = 3 marks** **AO2** • *Samsung* can review the information contained in the curriculum vitae (CV) of the applicants to consider the previous experience of the design engineers • *Samsung* can use a person specification to stipulate the education and skills required by the recruits to manufacture and design TV's and smartphones **AO3** • The CV can be used by *Samsung* to decide if the applicant experience match the requirements of jobs in its business. • This should lead to *Samsung* only receiving applications from people who have the skills required to help them compete in the electronics market	**(6)**

9

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 3 of 7 · Question 1 part a.iv · 1 mark

2025 NOV · Paper 02 · extract 7 of 8 · find part a.iv in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

10

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 3 of 7 · Question 1 part a.iv · 1 mark

2025 NOV · Paper 02 · extract 8 of 8 · find part a.iv in this mark scheme extract

Q. No.	State **one** reason why *Samsung* may need long-term finance. **Answer**	**Mark**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 4 of 7 · Question 2 part e · 3 marks

2023 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid method *Irsi Chocolatier* could use to improve its competitive position in the context of the business. • The chocolate shop may now open on a Monday **(1)** **NB** Do not accept a method that is not in the context of *Irsi Chocolatier* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** way *Irsi Chocolatier* might extend the life cycle of one of its products. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid way *Irsi Chocolatier* might extend the life cycle of a product in the context of the business. • *Irsi Chocolatier* can lower the price of its chocolates **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier* **Accept any other appropriate response.**	**(1)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 4 of 7 · Question 2 part e · 3 marks

2023 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** way a business could use e-newsletters. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a way a business could use e-newsletters, plus 2 further marks for explaining this way, for a maximum of 3 marks. • E-newsletters can be personalised based on a customer's previous transactions **(1)** it could include special discounts just for them **(1)** leading to customers being motivated to return **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**
Question Number	Explain **one** way a business could use market research information. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a way a business could use market research information, plus 2 further marks for explaining this way, for a maximum of 3 marks. • To find out what customers think of their products **(1)** so they can act on any relevant feedback given **(1)** and therefore better meet the needs of customers **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 4 of 7 · Question 2 part e · 3 marks

2023 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** benefit to a business that has a decentralised organisational structure. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit to a business that has a decentralised organisational structure, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Employees may be better motivated **(1)** as they can share their ideas with the fellow employees **(1)** and can be part of the decision making process **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 4 of 7 · Question 2 part e · 3 marks

2023 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	*Irsi Chocolatier* is considering using: **Option 1:** batch production **Option 2:** job production. Justify which **one** of these two options *Irsi Chocolatier* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – batch production would allow different flavours and shapes of chocolate lollipops to be made • **Option 2** – Job production allows *Irsi Chocolatier* to give customers the option of personalised chocolate lollipops **AO3** • **Option 1** – This method will allow *Irsi Chocolatier* to make a certain number of one type of lollipop and then switch to another to give customers a range in lollipops as it does with the chocolates • **Option 2** – This method would give a consistent approach to its customers of personalised products **AO4** • **Option 1** – However, it could be more costly depending on the demand for different shapes and flavours • **Option 2** – However, lollipops are only small items so customers may not want to wait for them to be personalised and may prefer to buy off the shelf to make the transaction quicker	**(9)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 4 of 7 · Question 2 part e · 3 marks

2023 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 4 of 7 · Question 2 part e · 3 marks

2023 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
	Define the term **fringe benefits.**	

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 5 of 7 · Question 2 part e · 3 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason why *Café Pinch* might set business objectives in the context of the business • It will give Kumaran the motivation to make his business a success as he tries to meet the business objectives he set **(1)** **NB** Do not accept a reason that is not in the context of *Café Pinch.* **Accept any other appropriate response**	**(1)**

Question Number	State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid way *Café Pinch* could use the Boston matrix to review its product portfolio in the context of the business • *Cafe Pinch* could identify which of its Ciabattas are dog products and take them off the menu **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch.* **Accept any other appropriate response**	**(1)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 5 of 7 · Question 2 part e · 3 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** responsibility of the human resources function. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a responsibility of the human resources function, plus 2 further marks for explaining this responsibility for a business, for a maximum of 3 marks • Recruitment and selection of employees **(1)** that includes placing job adverts/interviewing/appointing candidates **(1)** leading to the most suitable applicant going through **(1)** NB Answers that list three responsibilities with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** advantage of being in a partnership. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of an advantage of being in a partnership, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • Each partner can bring their own experience and expertise **(1)** specialising in their own area of skill **(1)** thus increasing the chances of its success **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only **Accept any other appropriate response**	**(3)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 5 of 7 · Question 2 part e · 3 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of having a hierarchical organisational structure. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a disadvantage of having a hierarchical organisational structure, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks. • Communication through many layers can be difficult **(1)** there is a long chain of command **(1)** possibly leading to slow decision making **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 5 of 7 · Question 2 part e · 3 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number		Mark
	Café Pinch is considering two options: **Option 1:** introduce a vegan range of products **Option 2:** a special offer of 7.5% off to customers on Wednesday mornings 9am – 12pm Justify which **one** of these two options *Café Pinch* should choose **Indicative content**	
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Introducing a vegan range addresses a new market for the café • **Option 2** – Giving a 7.5% discount can draw more customers into the cafe at a time when it might not be busy **AO3** • **Option 1** – This new range of products could lead to an increase in sales with limited upfront costs if it adapts the current menu to make it vegan friendly • **Option 2** – As this 7.5% discount is only for one morning, it may draw more customers to them at that time instead of their competitors as long as the offer is promoted well **AO4** • **Option 1** – However, whilst this might draw in more customers *Café Pinch* needs to ensure it spends some time researching the products its customers want as well as what the competitors nearby are selling • **Option 2** – However, despite this leading to a potential increase in competitiveness as *Café Pinch* is only small, they may not be able to cope with the increased demand at this time and it could lead to a decrease in competitiveness as customers may go elsewhere	**(9)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 5 of 7 · Question 2 part e · 3 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 5 of 7 · Question 2 part e · 3 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Define the term **secondary sector.** Answer	Mark

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 6 of 7 · Question 2 part d · 3 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid advantage for *PPS* of customer loyalty • Customers will be more likely to try the overnight accommodation for their pets if they have been pleased with the pet grooming service **(1)** **NB** Do not accept an advantage that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *PPS* motivates its employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *PPS* motivates its employees • As the employees are motivated in what they are doing the dogs staying overnight will receive good care **(1)** **NB** Do not accept a reason that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 6 of 7 · Question 2 part d · 3 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** impact on a business of ineffective communication. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of an impact to a business of ineffective communication, plus 2 further marks for explaining this impact, for a maximum of 3 marks. • This can create misunderstanding between owners and employees **(1)** as employees may not be clear of what they are supposed to be doing **(1)** and this could lead to errors being made **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** advantage to a business of having a decentralised organisation. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for an advantage to a business of having a decentralised organisation, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • The business can react to changes quicker **(1)** because they do not need to run decisions through many layers **(1)** leading to decisions being made that meet the needs of local customers **(1)** **NB** Answers that list three advantage with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 6 of 7 · Question 2 part d · 3 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** benefit to a business of using seasonal employees. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a benefit of using seasonal employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • This gives the business flexibility with its workforce **(1)** by having more employees at busier times **(1)** allowing them to meet the demands of customers at certain times of the year **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 6 of 7 · Question 2 part d · 3 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	*PPS* is looking to improve its revenue and is considering two options. Option 1: trial a new brand of dog food in the shop Option 2: sponsor a local dog show. Justify which one of these two options *PPS* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – trialling a new brand of dog food will appeal to dog owners who regularly purchase dog food from *PPS* • **Option 2** – sponsoring a local dog show will promote *PPS*'s products such as dog collars **AO3** • **Option 1** – This method can bring in more revenue as it is a product they are known for selling and if customers like it then they will buy more of that dog food • **Option 2** – This may draw customers into the shop and could lead to an increase in revenue **AO4** • **Option 1** – However, if customers are used to buying a particular dog food brand they may not want to try a new brand • **Option 2** – However, it does cost to sponsor an event so *PPS* would need to incur cost upfront before they gain an increase in revenue from this method	**(9)**

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 6 of 7 · Question 2 part d · 3 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 6 of 7 · Question 2 part d · 3 marks

2024 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Define the term **diseconomies of scale.** **Answer**	Mark

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 7 of 7 · Question 4 part c · 12 marks

2025 NOV · Paper 02 · extract 1 of 4 · find part c in this mark scheme extract

4 (a)	**AO2 – 2 marks** Award 2 marks for the correct answer 8.26 % **(2)** **OR** award 1 mark for workings if final answer is incorrect 112 000 – 94 000 = 18 000 **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Q. No.	Analyse the purpose of market research for *Samsung*. **Indicative content**	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Samsung* are able to identify and understand its customer's needs in terms of what they look for when buying a laptop or TV • Market research will help *Samsung* identify potential gaps in the competitive smartphone market **AO3** • *Samsung* can consider the features customers prefer to increase demand for its products • This, this may lead to *Samsung* developing a USP to attract more customers	**(6)**

21

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 7 of 7 · Question 4 part c · 12 marks

2025 NOV · Paper 02 · extract 2 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

22

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 7 of 7 · Question 4 part c · 12 marks

2025 NOV · Paper 02 · extract 3 of 4 · find part c in this mark scheme extract

Q. No.	Evaluate whether a centralised organisation structure will benefit *Samsung*. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO1** • A centralised organisation structure is where business decisions are made at the headquarters of the business • It is usual in a centralised structure that decisions for the whole business are made by the CEO and other senior managers **AO2** • This means that major decisions on the design and the development of smartphones will be made in South Korea to speed up the decision making • It means that *Samsung* can benefit from economies of scale if TVs are standardised and the marketing can be organised centrally **AO3** • This will ensure *Samsung* can react quickly to changes in technology which is of importance in the competitive smartphone market to ensure it maintains its market share • A reduction in unit costs may help reduce prices of the TVs to help them remain the leading supplier in the industry **AO4** • However, lack of authority lower in the organisation may demotivate mangers leading to lower productivity/ employees leaving their jobs resulting in higher costs and lower profit levels • However, local managers in the factories and offices outside South Korea may have a better understanding of local needs /be in a better position to attract more customers	**(12)**

23

Type MS · Organisational structures: hierarchical, flat, centralised, decentralised

Answer 7 of 7 · Question 4 part c · 12 marks

2025 NOV · Paper 02 · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)